

Option Contract Basics

An option contract is an agreement where a property owner (optionor) gives a potential buyer (optionee) the right to buy the property at a set price within a certain time. The seller must sell if the buyer decides to buy, but the buyer is not required to purchase. The contract includes the time limit and the purchase price or how the price will be determined.

In a sales contract, both the buyer and seller must follow through on the deal. In an option contract, only the seller is bound by the contract until the buyer decides to buy, making it a one-sided (unilateral) contract.

Since the seller cannot sell to anyone else during the option period, the buyer usually pays a fee (option fee) to hold the right to buy. If the buyer chooses not to buy, the seller keeps the fee and is free to sell to someone else.

If the buyer decides to purchase, the option fee may go toward the purchase price, depending on the contract. Once the buyer commits, a sales contract takes effect, and both parties must follow through-the seller must sell, and the buyer must buy.

Common Uses of Option Contracts

- **Lease Option:** A renter (lessee) has the right to buy the home at the end of the lease. This gives them time to save money or get financing.
- **Investment & Development:** Investors buy an option on land in a good location. They find investors or developers who will pay more, then buy the land and sell it at a profit.
- **Due Diligence:** Buyers use option contracts to check if the property suits their needs before committing to a full purchase.

A Real Estate Licensee's Role

Real estate licensees should understand option contracts, but these agreements are usually written by real estate attorneys. The best advice a licensee can give a client is to consult an attorney to ensure the option contract is legally sound and works in their best interest.